

Kela Defense Systems Ltd.

General Terms and Conditions of Purchase

(July 2026, V1.0)

These General Terms and Conditions of Purchase (these "**GTC**") apply to, and govern, each purchase order (an "**Order**" or "**PO**") issued by **Kela Defense Systems Ltd.**, of Ben Avigdor 19, Tel Aviv, Israel ("**Kela**" or "**Buyer**"), to the supplier identified in the Order ("**Supplier**"), for the purchase of products, hardware, software, deliverables and related services (collectively, the "**Products**"). These GTC, the face of the Order, any special terms and conditions or rider attached to or referenced in the Order ("**Special Terms**"), and any annexes referenced therein, together constitute the entire agreement between Kela and Supplier with respect to such Order (the "**Agreement**").

1. APPLICABILITY; ORDER OF PRECEDENCE

- 1.1 In the event of any conflict or inconsistency between the documents forming the Agreement, the following order of precedence shall apply (highest first): (a) the Special Terms; (b) the face of the Order; (c) these GTC; and (d) any Supplier quotation, proposal or other Supplier document, solely to the extent expressly incorporated by reference in the Order.
- 1.2 Any pre-printed, standard, linked or referenced terms and conditions of Supplier (including terms attached to a quotation, order confirmation, invoice, delivery note or website) are hereby expressly rejected and shall not apply, whether or not Kela expressly objects to them, unless and to the extent expressly accepted by Kela in a writing signed by an authorized representative of Kela. Supplier's acceptance of an Order, commencement of performance or delivery shall constitute acceptance of these GTC.
- 1.3 No amendment of the Agreement shall be valid unless made in writing and signed by authorized representatives of both parties.

2. ORDERS; FORECASTS; CHANGES

- 2.1 Each Order shall become binding upon the earliest of: (a) Supplier's written acceptance; (b) Supplier's commencement of performance; or (c) the lapse of five (5) business days from receipt of the Order without Supplier's written rejection.
- 2.2 Kela shall have no purchase commitment of any kind except as expressly stated in a duly issued Order. Forecasts, framework quantities, budgetary amounts or "bucket" figures communicated by Kela are non-binding planning estimates only, and shall not create any minimum-purchase obligation, true-up, fee or surcharge.
- 2.3 Kela may reasonably request changes to quantities, delivery dates, destinations or packaging of an Order. The parties shall agree in good faith on any equitable adjustment to price or schedule resulting from such change, before implementation.

3. DELIVERY; TITLE; RISK

- 3.1 **Time is of the essence** with respect to Supplier's delivery obligations. Delivery shall be made in accordance with the delivery terms (Incoterms 2020) and dates set forth in the Order; if no delivery term is specified, delivery shall be DAP (Incoterms 2020) Kela's facility stated in the Order.
- 3.2 Supplier shall notify Kela in writing immediately upon becoming aware of any actual or anticipated delay, including the cause, expected duration and a remediation plan. Such notice shall not relieve Supplier of responsibility for the delay.
- 3.3 Without derogating from any other right or remedy of Kela (including liquidated damages where specified in the Special Terms), if any delivery is delayed by more than thirty (30) days beyond the agreed delivery date for reasons not attributable to Kela, Kela may, upon written notice, cancel the delayed portion of the Order without liability, and/or purchase substitute products,

with Supplier bearing the reasonable documented excess cost of such substitution.

- 3.4 Early deliveries, partial deliveries and over-shipments require Kela's prior written consent; non-conforming shipments may be returned or stored at Supplier's cost and risk.
- 3.5 Title to, and risk of loss of or damage to, the Products shall pass to Kela upon delivery in accordance with the applicable Incoterm. Following payment of the price of the relevant Products, Supplier shall have no lien, retention of title, security interest or similar right in or over such Products, and any such right shall automatically lapse and be released.
- 3.6 Each shipment shall be accompanied by a packing list, and where applicable a certificate of conformance, test reports and all documentation specified in the Order. Products shall be packed adequately for their nature and mode of transport.

4. INSPECTION; ACCEPTANCE

- 4.1 Products shall be deemed accepted only following Kela's incoming inspection and acceptance tests, to be completed within thirty (30) days from actual delivery (or such other period stated in the Special Terms) ("**Acceptance**"). Neither taking of delivery, nor payment, nor use of the Products in testing shall constitute Acceptance or waiver of any right.
- 4.2 Kela may reject any Products that do not conform to the Agreement, the agreed specifications or the Documentation. Supplier shall, at Kela's election and at Supplier's sole cost (including shipping in both directions), promptly repair or replace rejected Products within fourteen (14) days, or refund all amounts paid for them.
- 4.3 Acceptance shall not affect Kela's rights and remedies with respect to latent defects, non-conformities not reasonably discoverable upon incoming inspection, or breach of warranty.

5. PRICE; INVOICING; PAYMENT

- 5.1 Prices stated in the Order are firm and fixed, in the currency stated in the Order, and include packaging, documentation and all costs of performance, but exclude VAT (which shall be added where applicable against a lawful tax invoice).
- 5.2 Unless otherwise stated in the Order or the Special Terms, payment terms are net thirty (30) days from the end of the calendar month ("current + 30") in which the **latest** of the following occurs: (a) receipt by Kela of a correct and complete invoice; (b) actual delivery of the Products; and (c) Acceptance pursuant to Section 4 (which Kela shall not unreasonably delay).
- 5.3 Kela may set off any amount due to Kela from Supplier under the Agreement (including liquidated damages and warranty-related costs) against amounts payable to Supplier. If Kela disputes an invoice in good faith, it shall pay the undisputed portion when due and the parties shall promptly resolve the disputed portion; no interest shall accrue on amounts disputed in good faith.
- 5.4 Each party shall bear the taxes imposed on it by law. If Kela is required by applicable law to withhold tax from any payment, Kela shall deduct such tax and provide Supplier with withholding certificates; the parties shall reasonably cooperate to minimize or obtain relief from any such withholding, including under applicable tax treaties.

6. WARRANTY

- 6.1 Supplier represents and warrants that all Products: (a) conform to the Agreement, the agreed specifications and Supplier's published documentation ("**Documentation**"); (b) are new (unless otherwise agreed), of good quality, and free from defects in design (to the

extent designed by Supplier), materials and workmanship, including defects arising from the interaction of the Products' hardware, firmware and software; (c) are conveyed with good title, free and clear of any lien, security interest or encumbrance; and (d) comply with all applicable laws, regulations and standards specified in the Agreement.

- 6.2 The warranty period shall be eighteen (18) months from the handover of the Product by Kela to its customer and in any event commencing no later than six (6) months following delivery of the Product to Kela (the "**Warranty Period**").
- 6.3 For any Product that fails to conform to the warranty during the Warranty Period, Supplier shall, at Kela's election and at Supplier's cost: repair the Product, replace it with a new conforming Product, or refund the price paid. Supplier's responsibility shall include the reasonable documented costs of de-installation, re-installation, and shipping in both directions.
- 6.4 Repaired or replaced Products (or parts) shall be warranted for the remainder of the original Warranty Period or twelve (12) months from redelivery, whichever is longer.
- 6.5 **Serial Defect.** If substantially the same defect, non-conformity or failure mode (including any failure to meet the agreed specifications and any hardware-software failure) attributable to the same root cause occurs in five percent (5%) or more of the Products delivered in any rolling twelve (12) month period (a "**Serial Defect**"), Supplier shall, at its cost, promptly investigate, provide a root-cause analysis and corrective action plan, and implement a corrective action or recall campaign covering all affected Products (whether or not such Products have yet exhibited the defect), including removal, retrofit or replacement and re-installation.
- 6.6 The warranty shall not be invalidated or reduced by Kela's storage, handling, installation, integration, configuration, opening, software or firmware updating, modification or use of the Products in accordance with the Documentation or as otherwise agreed by the parties (including in the Special Terms). Warranty exclusions shall apply only to the extent Supplier demonstrates that the defect in question was directly caused by Kela's misuse, negligence or unauthorized modification, and then only with respect to the affected unit(s).

7. INTELLECTUAL PROPERTY

- 7.1 Each party retains all right, title and interest in and to its background intellectual property. Supplier grants Kela a non-exclusive, irrevocable, worldwide, royalty-free (as included in the price) license, for the life of the relevant Products, to use, operate, maintain, repair, integrate, market, distribute and resell the Products, including any software and firmware embedded in or delivered with them, as part of or in connection with Kela's systems and platforms, including the right to extend such license to Kela's customers and end users.
- 7.2 Supplier shall defend, indemnify and hold harmless Kela and its customers against any third-party claim that the Products or their use in accordance with the Agreement infringe any intellectual property right, and shall pay all amounts finally awarded or agreed in settlement, and reasonable out-of-pocket legal expenses. If the use of any Product is enjoined or likely to be enjoined, Supplier shall, at its cost and at Kela's reasonable satisfaction, procure the right to continue using it, or replace or modify it to be non-infringing without degrading form, fit or function; failing which Supplier shall refund the amounts paid for the affected Products, including reasonable integration costs incurred by Kela.
- 7.3 Any deliverables, work products, developments, adaptations, designs, drawings, documentation, software or other results developed by or on behalf of Supplier specifically for Kela under or in connection with an Order (including non-recurring engineering) (collectively, "**Deliverables**"), and all intellectual property rights therein, shall be the sole and exclusive property of Kela, and are hereby irrevocably assigned to Kela upon their creation. Supplier

shall execute such documents and provide such assistance as reasonably required to perfect, register or enforce Kela's rights therein. To the extent any Supplier background intellectual property is embedded in or required for the use of any Deliverable, Supplier hereby grants Kela a non-exclusive, irrevocable, perpetual, worldwide, royalty-free license to use such background intellectual property in connection with the Deliverables and the Products.

- 7.4 Any feedback, suggestions, improvements, ideas or know-how provided by Supplier or its personnel with respect to Kela's products, systems, platforms or technology, and all intellectual property rights therein, shall be the sole and exclusive property of Kela, and are hereby irrevocably assigned to Kela, without any obligation, restriction or compensation; Supplier shall have no right to use or disclose the same other than for the performance of the Agreement.

8. CONFIDENTIALITY; PUBLICITY

- 8.1 Each party shall keep confidential, and use solely for the performance of the Agreement, all non-public information disclosed by the other party in connection with the Agreement, for a period of five (5) years from disclosure (and, with respect to trade secrets and classified or security-related information, for as long as such information retains its character). Kela's technical data, platform information, end-customer identity and program information constitute confidential information of Kela.
- 8.2 Supplier shall not use Kela's (or its customers') name, logo or the existence or contents of the Agreement in any publicity, marketing, investor or other public communication without Kela's prior written consent. If disclosure is required by law, regulation or stock-exchange rules, the disclosing party shall, to the extent legally permitted, give the other party prior written notice and shall seek confidential treatment and redaction of commercial terms to the maximum extent available.

9. INDEMNITY; INSURANCE

- 9.1 Supplier shall defend, indemnify and hold harmless Kela, its affiliates, directors, employees and customers from and against any third-party claims, damages, costs and expenses (including reasonable attorneys' fees) arising out of death, bodily injury or damage to tangible property to the extent caused by a defect in the Products or by the negligence or willful misconduct of Supplier or its personnel or subcontractors.
- 9.2 Supplier shall maintain, with reputable insurers, insurance coverage appropriate to its obligations under the Agreement (including product liability insurance), and shall provide certificates of insurance upon Kela's reasonable request.

10. LIMITATION OF LIABILITY

- 10.1 Except with respect to Excluded Claims (defined below), neither party shall be liable for indirect, consequential, special or punitive damages, or for loss of profit or loss of business. "**Excluded Claims**" means: (a) breach of confidentiality (Section 8); (b) Supplier's indemnification obligations (Sections 7.2 and 9.1); (c) Serial Defect and recall obligations (Section 6.5); (d) infringement or misappropriation of intellectual property; (e) gross negligence or willful misconduct; and (f) death or bodily injury.
- 10.2 Except with respect to Excluded Claims (for which no cap shall apply), each party's aggregate liability under or in connection with an Order shall not exceed two (2) times the amounts paid or payable under such Order; provided that nothing in this Section shall limit Kela's payment obligations for Products duly delivered and accepted, or Kela's rights to a refund, re-performance or cover.

11. COMPLIANCE; EXPORT CONTROL

- 11.1** Supplier shall comply with all applicable laws and regulations, including anti-bribery and anti-corruption laws (including the Israeli Penal Law, the U.S. FCPA and the UK Bribery Act), labor and safety laws, and applicable export and trade control laws.
- 11.2** Supplier shall provide Kela, promptly upon request, with export classification information (including ECCN or equivalent), country-of-origin declarations, and any information or reasonable assistance required for Kela's compliance with applicable trade control laws and Israeli defense regulatory requirements (including, where applicable, the Israeli Defense Export Control Agency and the Israeli Ministry of Defense). Supplier shall promptly notify Kela of any license, restriction or regulatory limitation applicable to the Products of which it becomes aware.

12. FORCE MAJEURE

- 12.1** Neither party shall be liable for failure or delay in performance (other than payment obligations for Products already delivered) caused by events beyond its reasonable control, provided that the affected party notifies the other party in writing within five (5) business days, uses commercially reasonable efforts to mitigate, and resumes performance as soon as possible. If a force majeure event continues for more than sixty (60) days, Kela may cancel the affected Order (or affected portion) without liability.

13. TERMINATION

- 13.1** Kela may terminate an Order for cause upon written notice if the Supplier materially breaches the Agreement and fails to cure within fourteen (14) days of written notice, or upon Supplier's insolvency, liquidation, receivership (not dismissed within sixty (60) days) or general assignment for the benefit of creditors.
- 13.2** Kela may terminate any undelivered portion of an Order for convenience upon thirty (30) days' written notice. In such event, Kela's sole liability shall be to pay for Products delivered and accepted, and for Supplier's actual, documented and unavoidable work-in-progress costs reasonably incurred for the terminated portion which Supplier cannot reasonably mitigate or reallocate; Supplier shall have no claim for lost profit or overhead on the terminated portion.
- 13.3** Provisions which by their nature are intended to survive (including warranty, indemnity, confidentiality, limitation of liability, governing law) shall survive expiration or termination.

14. GENERAL

- 14.1 Assignment; Subcontracting.** Supplier shall not assign the Agreement or any of its rights or obligations, nor subcontract material portions of its performance, without Kela's prior written consent. Kela may assign the Agreement to an affiliate or in connection with a merger, reorganization or sale, with written notice to Supplier. Subcontracting shall not relieve Supplier of any obligation.
- 14.2 Independent Contractors.** The parties are independent contractors; nothing in the Agreement creates any employment, agency, partnership or joint venture.
- 14.3 Points of Contact; Notices.** Each party shall designate in the Order (or promptly thereafter) a single authorized point of contact for the management of the Order, through whom all material communications, contract comments and change requests shall be channeled. Formal notices shall be in writing and delivered in person, by courier, by registered mail or by e-mail (with confirmation of receipt) to the addresses set forth in the Order.
- 14.4 Waiver; Severability.** No failure or delay in exercising any right shall operate as a waiver. If any provision is held invalid or unenforceable, the remaining provisions shall remain in full force, and the invalid provision shall be replaced with a valid provision that most closely approximates its intent and economic effect.
- 14.5 Entire Agreement; Language.** The Agreement constitutes the entire agreement between the parties with respect to its subject

matter and supersedes all prior understandings relating thereto. The governing language of the Agreement is English.

- 14.6 Governing Law; Jurisdiction.** The Agreement shall be governed by the laws of the State of Israel, without regard to conflict-of-law rules, and excluding the UN Convention on Contracts for the International Sale of Goods. The competent courts of Tel Aviv-Jaffa, Israel shall have exclusive jurisdiction over any dispute arising under or in connection with the Agreement, provided that either party may seek interim or injunctive relief in any court of competent jurisdiction.